SWIGGY INSTAMART

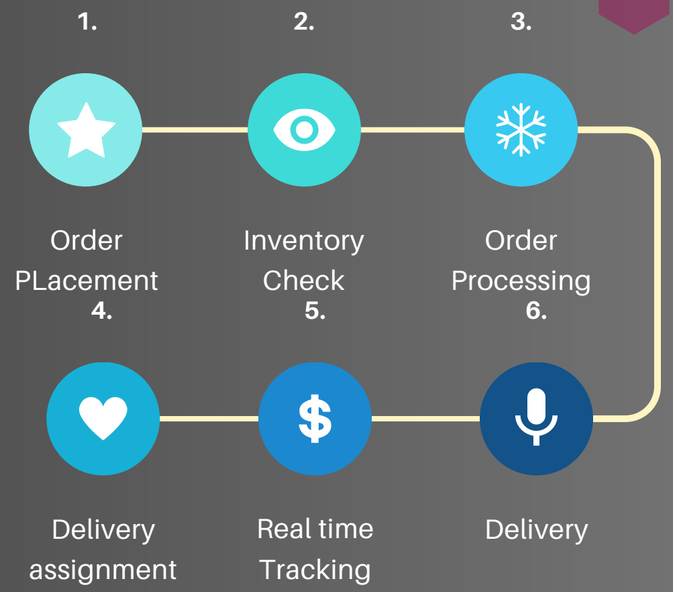
INCREASE GOV THROUGHPUT PER STORE TO IMPROVE UNIT ECONOMICS





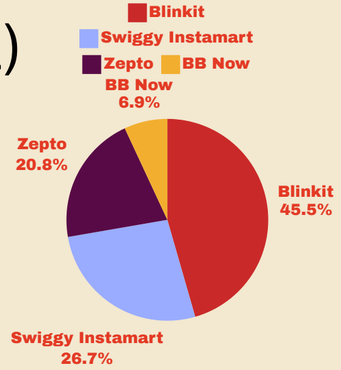
MARKET LANDSCAPE

Quick commerce (q-commerce) is characterized by ultra-fast delivery (10-30 minutes) of groceries and daily essentials and caters to high-frequency, low-value transactions .Each dark store fulfils orders placed by customers within a radius of 2- 3km.Dark stores are supported by large mother warehouses. market potential and reflection.India's quick commerce market is projected to reach $5.5 billion by 2025



Market Share

1)

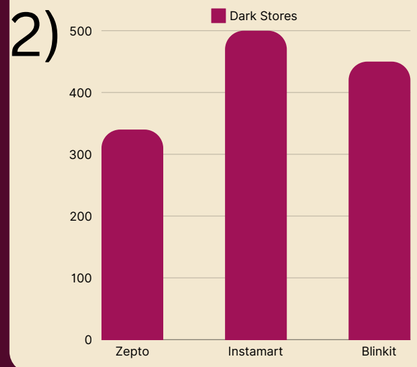


1) Market Share

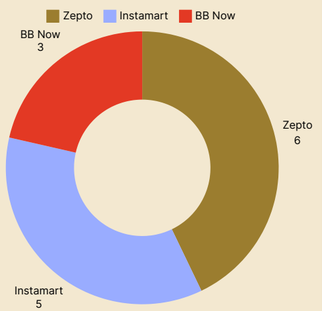
2) No. of Dark Stores

3)No. of orders (in lakhs)

2)



3)



Trends

Q-commerce orders doubled over the last year, and now account for 40%–50% of India’s e-grocery spend.The 18-24 age group uses Quick Commerce apps & websites the most in India.In 2017, the average revenue per user was $78.57. By 2029, it is projected to be $175.

Regulations

- Goods and Service Tax (GST) registration
- Trade license
- Shop and establishment license
- FSSAI license for food or food products
- Import Export Code for businesses that import or export goods

Actors & Constraints

Customer, Delivery person, Dark stores, Customer service, sourcing, distribution, warehousing, inventory management, logistics, demand forecasting, dark store operations

- Consumers:Hesitate to increase basket size if delivery speed is impacted.
- Dark Stores: Need to balance inventory. Overcrowding can lead to inefficiencies.
- Delivery Personnel: Face constraints in delivery time, distance, and optimizing routes.

COMPETITOR ANALYSIS

Zepto	Blinkit	BB Now	Flipkart
• Fast Delivery and Strategic placement of micro-warehouses (dark stores) near customer clusters . • Zepto uses advanced tech and data analytics to manage inventory efficiently driving order volume up. • Discounts and loyalty incentives, such as free delivery for frequent customers, has kept engagement high and boosted repeat orders. • Influx of capital has allowed Zepto to expand its reach and improve service quality, helping to drive up GOV. . • Zepto's focus on efficiency, expansion, and optimizing its customer offering leading to high order volume and GOV • Zepto introduced subscription models, bundling discounts, personalized offer and gamified experiences to increase GOV.	• Blinkit has seen its average order value rise to ₹635. • Blinkit has focused on high income households (30 million) leveraging their preference for convenience over cost. • Blinkit's GOV surged to Rs 2,140 in Q1 FY FY24 while its numbers of order grew in a similar pattern to 78.8 million GOV per day per store went from 625 to 925 in 2024. • The addition of new stores has reached more customers • Blinkit is able to offer a wider selection of products . • Building its own supply chain to directly source products and manage stock from brands. • Integration of Zomato and Blinkit, focused on operations, customer experience, cost cutting, and fixed-cost leveraging.	• BigBasket consolidated its services (BB Now, BB Daily, etc.) increasing order volume. • Introduction of BB Daily, a subscription service for milk and fresh groceries that encourages frequent orders with a next-day delivery option. • BigBasket acquired DailyNinja and Morning Cart to enhance its daily essentials delivery, targeting time-sensitive orders • BigBasket developed proprietary software to enhance logistics and delivery efficiency • BigBasket's tailors offerings based on city-specific needs leading to high AOV per customer. • They offer a 10% discount for delayed deliveries and a 50% refund for missing items	• Flipkart experienced a 25-28% year-on-year growth in GMV as of 2023, • Flipkart works with over 200,000 sellers which has broadened its product offerings • Expanding to Tier 2 and Tier 3 Cities by enhancing logistics, supply chains, and offering a diverse range of affordable products. • Flipkart's annual "Big Billion Days" sale is one of its most effective due to higher transaction volumes. • Flipkart Pay Later also helped in boosting AOV and driving repeat purchases. • Flipkart has invested heavily in its logistics arm, Ekart, to enhance delivery times, especially in tier-2 and tier-3 cities. • Flipkart has launched its fast delivery service- Minutes • Minimum order quantity is required to place an order

Why is Increasing GOV important

- Higher Customer Lifetime Value (CLV)
- Delivery Fee Recovery: Due to high GOV platform covers more of the delivery costs through service charges or delivery fees.
- Improved unit economics: High order values, low delivery cost per unit
- Less Frequent, Higher Value Orders: . This can help optimize delivery schedules and reduce the number
  of trips, saving on fuel and labor costs.
- Bulk Purchasing Incentives: Increasing GOV per store enables Swiggy to negotiate larger discounts from suppliers.
- Warehouse Optimization and Scalability: Larger orders lead to warehouse replenishment and reducing overstock or understock issues.
- SEO: Quick decision making and search engine/ app visibility

Product Outcomes

1. Operational cost reduction of dark stores and delivery
2. Numbers of orders to be increased
3. Average GOV per order to be increased
4. Frequency of order placed to be increased
5. Increase number of active users

Swiggy instamart

Swiggy Instamart is a Quick Commerce Platform that offers groceries, personal care items, and household essentials.

- Uilises advanced logistics and real-time tracking technology.
- Swiggy super-app ecosystem and offers a single membership program w leading to high retention rates amongst high frequency consumers.
- Unit economics :costs of delivery, warehousing, product acquisition, and marketing with the revenue per order. Swiggy has worked on optimizing delivery routes, improving its supply chain, and increasing the average order value (AOV) through personalized promotions and bundling offers.

₹ 35,000 Cr	33%	₹ 462	14.3 M	44%
GOV	Revenue Jump	AOV	Monthly Transactions	Loss Reduction

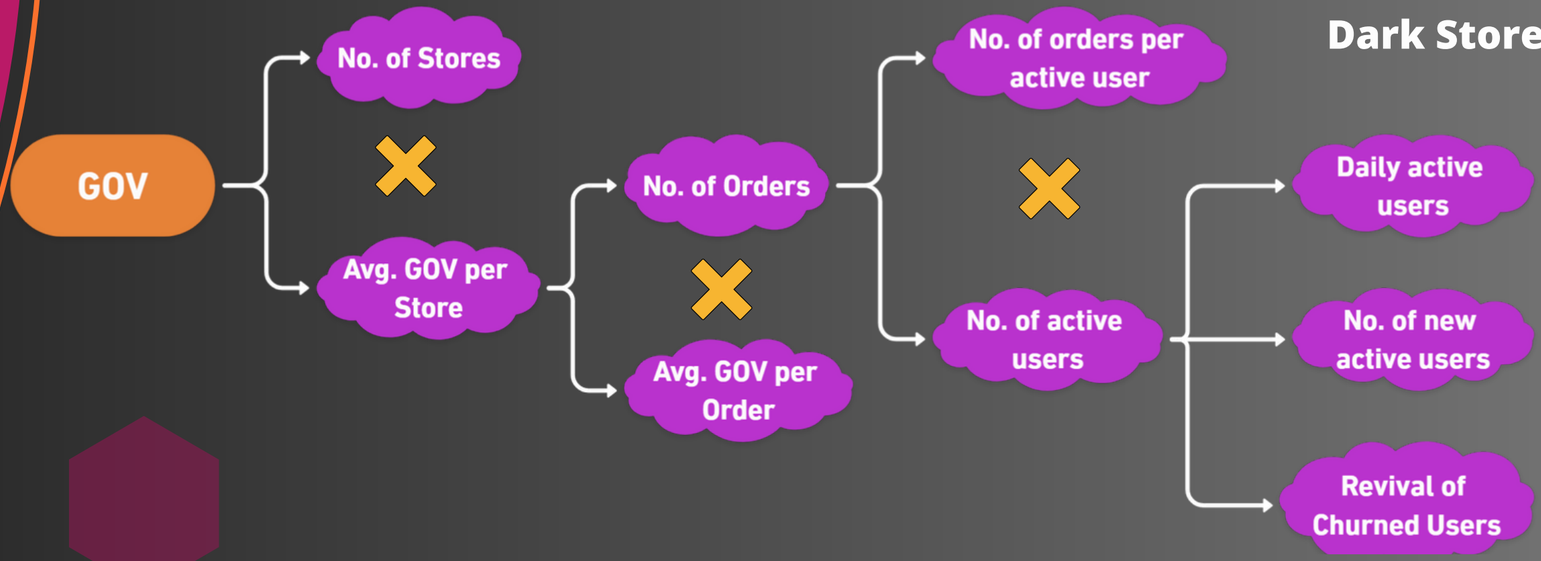
27% Market share

25 Cities



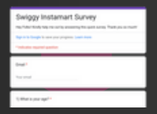
450 Dark Stores

KPI Tree



CUSTOMER SURVEY

(46 responses)



82.2% order grocery/essentials often from online apps

75.6% Order 3-5 items from Instamart

60% pay ₹200-₹300 on an avg. per order

62.2% Order once a week

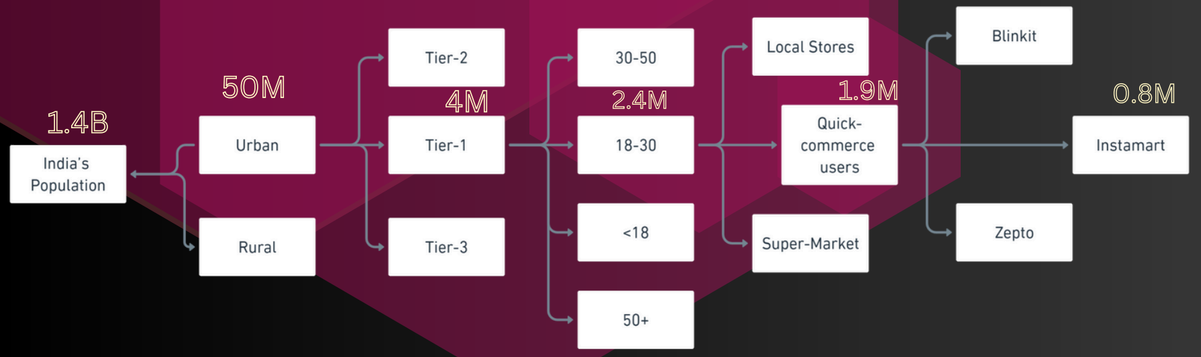
77.8% face the issue of items being out of stock

75.6% Order Munchies & Snacks

71.1% Users want more discount and low delivery charge

67.7% Place bulk orders on Instamart

GUESSTIMATE OF TARGET SEGMENT



TARGET USER SEGMENT

Users who are 18-30 years old

×

Users living in Tier-1 cities

These are high-frequency users who value convenience and premium offerings.





Nidhi |27| Sales Head |Mumbai

She gets caught up in work and prefers to order grocery and essentials at home. She prefers to order 10+ things at once

- Pain Points: Items are out of stock, medicines ,books etc. are not available,less brand and category options,
- Needs: wants quicker delivery, more brand options, additional categories and ready to pay for it all

Rohan |19| B.E Student |Jaipur

He prefers to order munchies and snacks in his dorm room. He follows a strict budget .

- Pain Points: High delivery cost(not affordable), specific categories out of stock, costly products
- Needs: affordable delivery and product prices, he likes to explore and needs more category and brand options

PROBLEM FRAMING CANVAS

CUSTOMER SURVEY INSIGHTS

- 78.3% users face the issue of items being out of stock.
- 41.3% would prefer Instamart if there were more brand options.
- Almost 70% users demand a low delivery charge.
- 71.1% would prefer rewards and discounts.
- More items are not added to the cart due to high cost.
- Users want categories like books, medicines, furniture, alochol and so on
- 71.7% users live in Tier-1 cities

HYPOTHESIS

- Items are out of stock
- Less discounts /incentives
- Delivery not fast
- No recommendations while adding to the cart
- High delivery charges
- Unique categories not available.
- Working professionals look for convenience and are ready to pay more for it.
- Frequency of orders should be increased among tier-1 cities to achieve the goal

USER RESEARCH VALIDATION

- Working professionals usually place an order above ₹500 which means they are ready to pay for conveinience but unavailability of items hinders it.
- College students prefer brand options and low cost.
- So by maintaining a dynamic stock and recommending the items to the users at a discounted price ,this problem could be solved.

Problem Breakdown

HIGH DELIVERY AND ITEMS COST

Users are hesitant to order more items due to the high prices and low convenience factor

ITEMS OUT OF STOCK

Some dark stores may face inventory or operational bottlenecks, limiting the number of orders fulfilled per day.

DELIVERY CONSTRAINTS

Longer distances and inefficient routes may increase delivery times and costs, impacting margins.

NO REWARDS

Users when they don't see the preferred items, a recommendation system can help them buy a similar one with suitable discounts

WHY SHOULD WE SOLVE THIS PROBLEM NOW?

- Larger order sizes help cover the fixed costs
- More GOV ensures marketing of wider range of products, leading to more revenue from ads.
- Swiggy must maximize revenue to combat inflation and increasing operational costs
- Q-commerce sector is intensifying competition

VALUE GENERATED BY SOLVING THIS PROBLEM FOR USERS

- Time saving:Quickly find items without searching.
- Enhanced experience: The platform feels personalized, leading to increased user engagement.
- Increased convenience: Providing substitutes for out-of-stock items ensures the user's needs are still met, even when a specific product is unavailable

SOLUTION

The TRUE PROBLEM faced by the user segment of 18-30 years old living in tier-1 cities is that the items on Swiggy Instamart are often out of stock. So the following solutions helps solve it

01 Automated Stock Replenishment System

Use IoT sensors or API integrations with suppliers to track inventory levels in real-time. When stock levels for a particular item fall below a certain threshold, the system automatically triggers a replenishment order.

02 AI based recommendation system

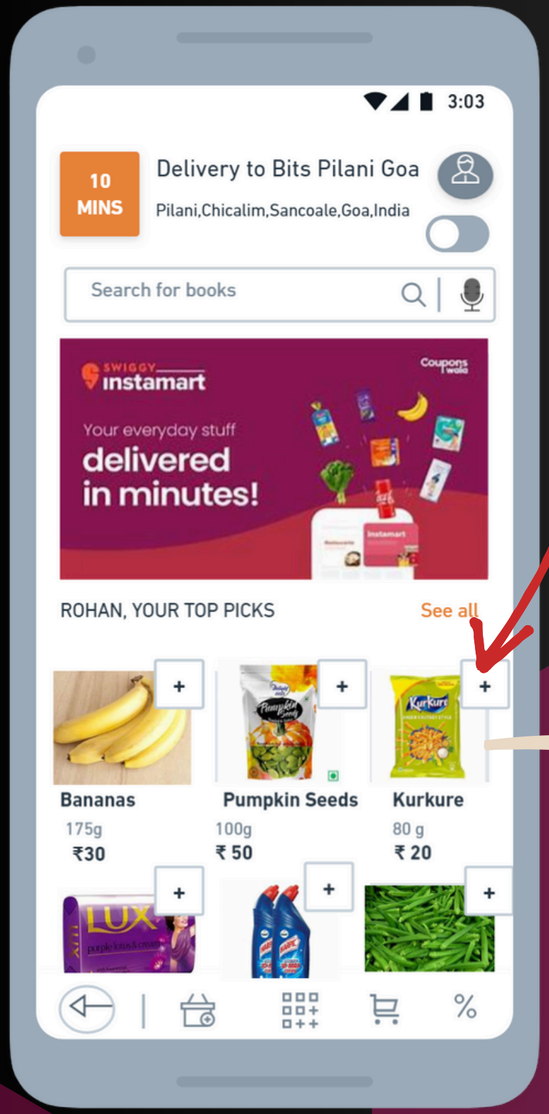
Offering AI-generated personalized product recommendations as users build their carts.Suggest related items (cross-selling) or bundle offers (e.g., "Add this product and save X%"). This gives a substitute if a product is out of stock.

03 Addition of new brands and categories

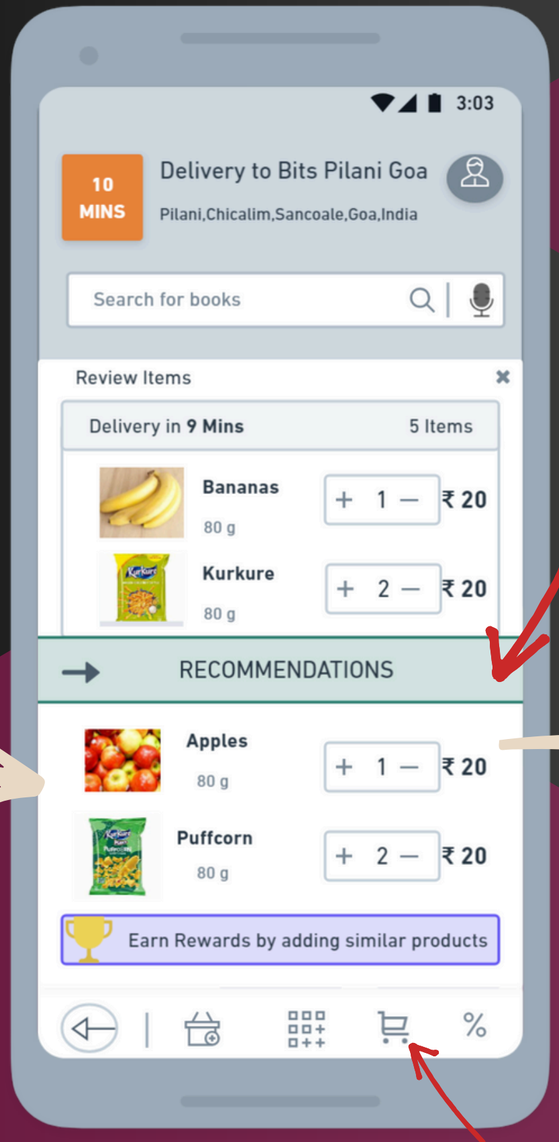
Partnership with new and premium brands to increase the number of options for users. Use AI and predictive analytics to optimize inventory based on demand patterns

SOLUTION	Reach	Impact	Confidence	Effort	Rice score
Similar items AI recommendation with stock maintainence	100%	H	H	H	2500
Adding new categories and brands	80%	M	M	M	1600
Automated Stock Replenishment System	40%	L	M	H	200

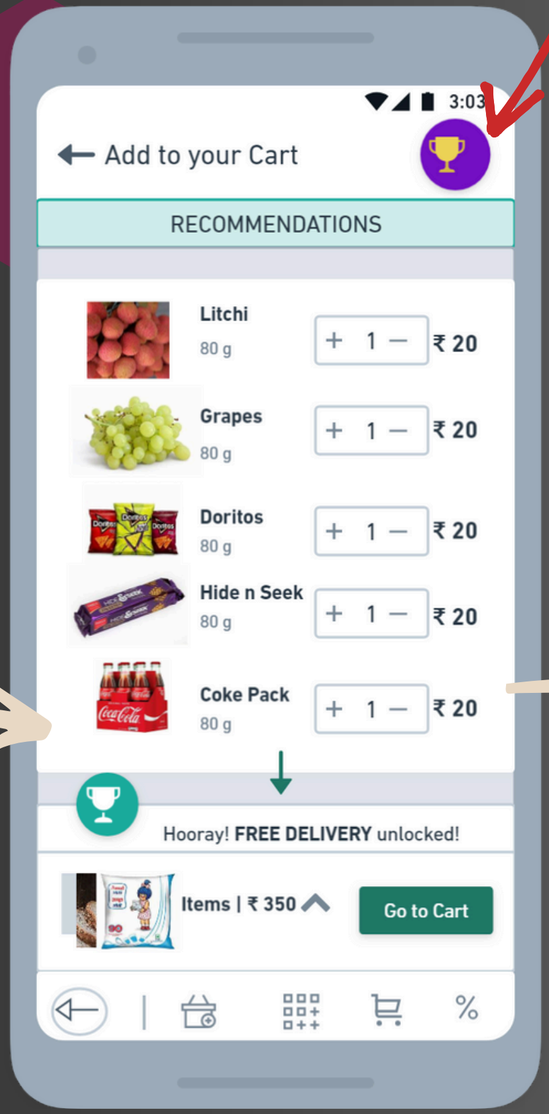
WIREFRAME



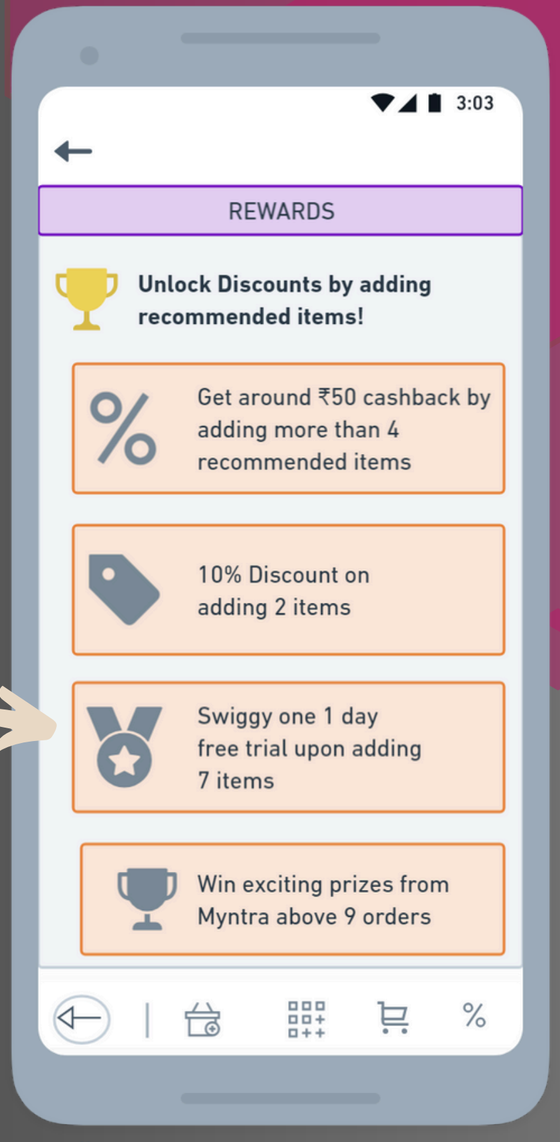
Select items and add them to the cart



Before going to the cart a recommendation screen pops up below it.Clicking it will redirect you to recommendations page.If not then click on cart

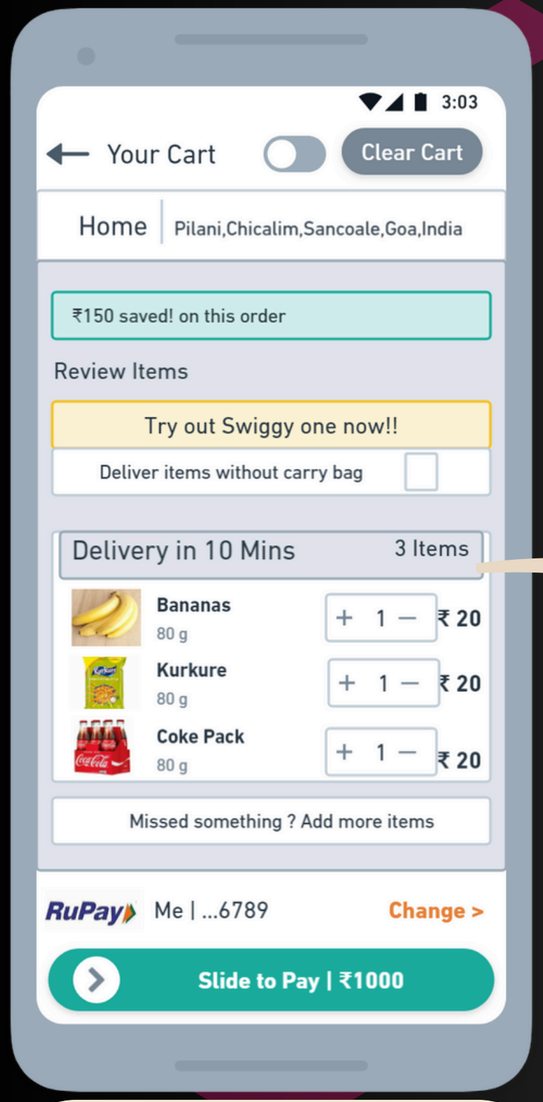


Scroll down to check more items. Press trophy icon to view rewards

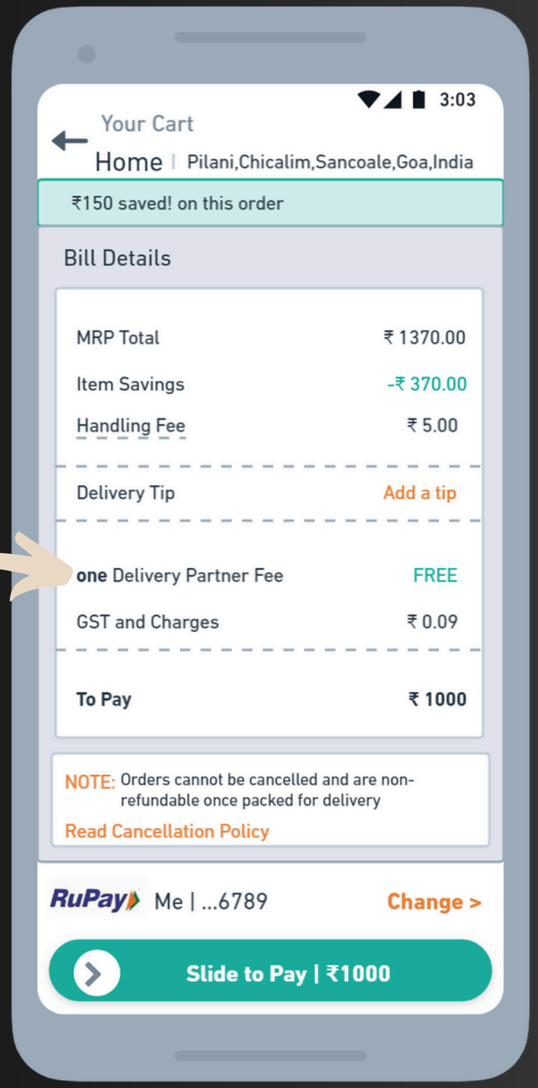


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WIREFRAME & SYSTEM DESIGN



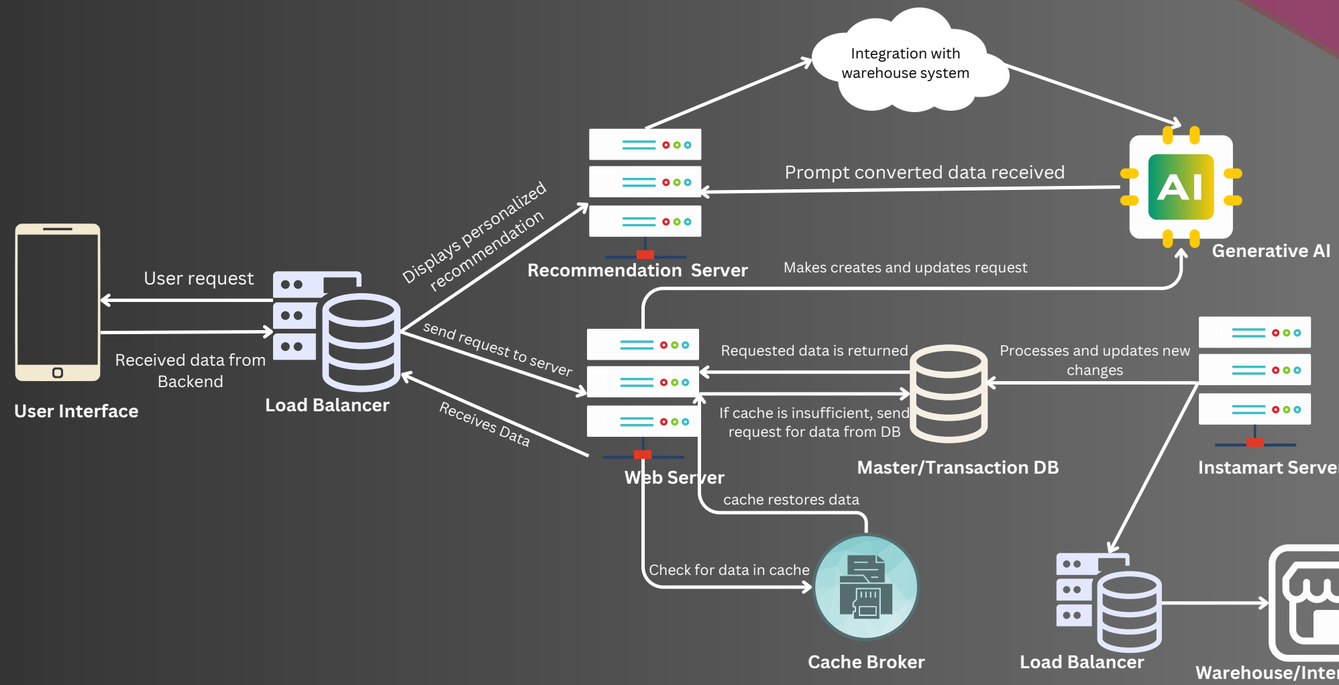
Add recommended items personalized by AI ,avail get discounts and proceed



Complete the transaction and ENJOY !

Implement an AI substitution system that recommends similar or complementary products when a specific item is out of stock or otherwise as well.

SYSTEM DESIGN



METRICS

North Star Metric

GOV of orders placed per store

- **Average Order Value (AOV): Monitor the average basket size to ensure it increases as expected.**
- **Click-through rate (CTR): Measures how often users engage with recommended products.(Clicks on Recommended Items / Total Recommendations) * 100**
- **Conversion rate of recommended Items :(Purchases from Recommended Items / Clicks on Recommended Items) * 100**
- **Gross Order Value (GOV): .GOV from Recommended Products / Total GOV**
- **Return on Investment (ROI) for the AI System: (Revenue from Recommendations - Cost of AI System) / Cost of AI System**
- **Recommendation System Effectiveness Metrics**
  Precision: Relevant Recommendations / Total
  Recall: Relevant Recommendations / Total Relevant Items
- **Cart abandonment rate = (Number of carts not converted) / (Number of carts created) × 100**
- **% of orders with substitutes = (Number of orders with substitutions) / (Total number of orders) × 100.**

RISKS

1. Data Privacy Concerns : AI recommendations rely on analyzing user data, misuse or leakage of this data can lead to potential legal implications.
2. Bias in Recommendations: AI models can reinforce biases present in historical data,
3. Over-Personalization Risk: Can limit users' exposure to new or diverse products
4. Algorithmic Complexity and Cost: Building and maintaining an AI system can increase operational costs and lead to performance issues.
5. Cold Start Problem: For new users or new products with little to no interaction history, the recommendation system may struggle to provide relevant suggestions, leading to poor user experience.
6. Consumer Resistance: Users may resist increasing basket size if delivery times will be affected.

MITIGATION

1. Implement strong data encryption protocols and anonymize data
2. Regularly audit recommendation algorithms to detect and correct biases, Implement feedback loops where users can rate or correct recommendations.
3. Periodically refresh recommendation datasets to ensure variety, A/B test different recommendation models to optimize it.
4. Implement caching mechanisms to reduce computations for frequently recommended products.
5. Hybrid models combining collaborative filtering, content-based filtering, and popularity-based recommendations for new users, Allow users to manually input preferences upon onboarding
6. CTR and user feedback, Use hybrid recommendation